

Georgia Geopolitical Positioning

Georgia, South Caucasus

SIGNAL

The ruling party launched a constitutional lawsuit to outlaw every remaining parliamentary opposition party, targeting even the only opposition faction seated in parliament.

FRACTURE

One-party consolidation at home is now outpacing the cultivation of any compensating external partnership, leaving Georgia's strategic drift exposed precisely as the ruling coalition begins to fracture from within.

By December 2027, Georgia will have functionally completed its transition from a competitive electoral system to a single-party state, with no independent opposition in parliament, Russian-aligned governance consolidated across both occupied territories, and no formal security or economic partnership with any major power – a position of organized isolation distinct from the transactional multi-vector posture of 2024-2026.

78%

PROBABILITY

▲ from 75%

TARGET: DECEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **Kobakhidze's UN General Assembly pivot to transit economics (Sept 24):** In his 81st UNGA address, the PM anchored Georgia's case in the Middle Corridor and a \$7B transport investment plan by 2032 (railway modernisation, Anaklia port, new Tbilisi airport, Black Sea fibre-optic cable). He struck a notably softer tone than President Kavelashvili's "multipolar order" speech a year earlier, named the Russian Federation as occupier of 20% of territory, and appealed to "Abkhaz and Ossetian brothers and sisters" for reconciliation. Omission of any reference to Russia's war in Ukraine, and of the EU and US by name, was deliberate – the speech is the cleanest articulation yet of "sovereign pragmatism" as a substitute for Euro-Atlantic alignment.
- **Anaklia proceeds under a Belgian, not Chinese, contractor (Aug 31-Sept 14):** Jan De Nul (member of Europe's "Big Four" dredging firms) confirmed dredging of the access channel to 17.5m will finish by December 2026, with the 1,380m breakwater to conclude

end-2027 and first phase ($\geq 600,000$ TEU) in 2029. Two dredgers move 70,000 m³/day. Critically, Anaklia Sea Port LLC filed a third revision cutting dredging volume and marine footprint – evidence the state-led "landlord model" is being financially descope even as it advances. The port is now simultaneously a repudiation of Chinese dependence and a European-built asset GD has not politically embraced.

- **GD expands opposition ban to all major parties (Sept 15):** The ruling party added Gakharia's For Georgia – the only opposition grouping actually sitting in parliament – to its Constitutional Court lawsuit to ban parties as "threats to constitutional order." OC Media frames it as a bid to ban five groups outright. A Constitutional Court judge resigned amid the looming party-ban appeal (Sept 14), signalling institutional strain.
- **Mdinaradze resigns – "prelude to Kobakhidze's downfall" (Aug 27):** Regional Development Minister Mamuka Mdinaradze, described as Kobakhidze's only loyalist, left politics. Analyst Gia Khukhashvili read it as Ivanishvili isolating the PM as a disposable scapegoat. Combined with Gharibashvili's earlier accusation (below), this is the first visible crack in GD's internal hierarchy.
- **Gharibashvili accuses Ivanishvili of blackmail (Aug 17-18):** Jailed former PM Irakli Gharibashvili alleged from prison that Ivanishvili pressured him to confess to new charges and quit politics permanently – the first former close ally to turn publicly. Government stayed silent.
- **Kobakhidze declines to call Russia an "enemy" (Aug 12):** Reinforcing the "pragmatism" line Russian officials have been amplifying, the PM refused the label, consistent with Kalugin's earlier framing that "even greater pragmatism" now prevails in Tbilisi.
- **Hungary shifts West, costing GD its EU shield (Sept 23):** Magyar's government expelled ten Russian diplomats, unblocked EU support for Ukraine, and dropped Russia-sanctions vetoes. The collapse of Orbán's Fidesz as a sympathetic EU pole removes GD's principal intra-union ally. Days later, EU enlargement reform documents omitted Georgia from the frontrunners.
- **Kambolov's 85% "election" formalizes South Ossetia absorption (Sept 18-19):** The Russian career bureaucrat, native of North Ossetia with no prior ties to the territory, won the snap vote (73.2% turnout, ~32,000 voters) held concurrently with Russian State Duma polling in the enclave. Putin congratulated; EU High Representative Kallas declared the result "null and void" and a step toward "future illegal annexation." Tskhinvali subsequently said it was "not ready" for Georgian transit traffic, keeping the border effectively closed.
- **US reset channel persists at working level (Aug 3-Sept):** Trump's letter to Kobakhidze on the US 250th anniversary spoke of "strengthening cooperation"; new Chargé d'Affaires Amy Diaz offered a "clean slate" reset on a "concrete roadmap" (Aug 26); the US and Georgia ran the NEXUS Georgia 2026 CBRN exercise. But the visa-bond programme was made permanent for Georgia alone (Aug 3), and a US court ordered

Georgia to pay ~\$400M to Turkey's ENKA over Namakhvani HPP (Sept 17) – a continuing working-level relationship with sharp-edged economic consequences.

- **Georgia absent from NATO Summit for second year (Aug 18):** Former officials called relations "effectively frozen" and Georgia's status "called into question," while the White House's "Great Transshipment Scam" report named Georgia in China's tariff-circumvention network.
- **Russia's narrative offensive intensifies (Aug 24–Sept 22):** Kobakhidze's revival of the 1783 Treaty of Georgievsk as a "civilisational choice" that saved Georgia was instrumentalized by RIA Novosti ("Occupation is off"), Zakharova (calling Russia and Georgia "allies" on "traditional values"), and Medvedev (framing 2008 recognition as "Geopolitical Justice"). Jamestown documented a Kremlin-funded "Georgievsk" battalion of Georgians fighting for Russia in Ukraine, naming the same treaty – evidence of an identity-level campaign, not merely policy-level rapprochement.
- **Iran friction sharpens (Aug 17, Sept 14–24):** Georgia alone among candidate countries declined to join EU-updated Iran sanctions (joining Turkey and Serbia), while Iran's envoy warned Georgia over compliance with US airline sanctions, publishing a map showing "only half of Georgia." The National Interest ran a counter-narrative arguing structural ceilings to the Iran relationship.
- **Economic churn compounds drift (Aug–Sept):** Terabank's sale to Armenia's Arins Group (with alleged Russian links via sanctioned Ilan Shor) went to the NBB for approval; EPRC flagged Wildberries' expansion for sanctions-evasion risk; Riddle Russia put H1 2026 Russian imports up 26% to \$1.2B with the deficit widening to \$868M.

ANALYSIS

POLITICAL

September was the month Georgia's strategic drift stopped reading as a story about external relationships and started reading as a story about the regime itself. Three developments, in combination, mark the threshold. First, GD's Constitutional Court lawsuit to ban all major opposition parties – including For Georgia, the only opposition force seated in parliament – converts what had been aspirational one-party rhetoric into an executable legal mechanism. Second, the internal rupture: Gharibashvili's blackmail allegation from prison, followed by Mdinardze's abrupt exit, breaks the image of a monolithic ruling coalition and raises the possibility that the drift thesis's end-state is not a stable autocracy but a brittle one. Third, the loss of Hungary removes the last Western government willing to act as GD's advocate inside any multilateral forum.

These do not cancel one another; they compound. The acceleration the prediction anticipated is now measurable: the opposition is being dismantled legally while the ruling coalition's own hierarchy frays, all in the absence of any compensating external anchor. Kobakhidze's UNGA speech is the clearest statement of where this leaves Georgia – a self-described "honest broker" pitching transit economics and reconciliation rhetoric

while pointedly omitting both Euro-Atlantic institutions and Russia's war. It is a posture, not a strategy, and it is increasingly exposed: Eurasia Review's September finding that no South Caucasus state is choosing a single patron now cuts against Georgia, which is the one state whose "multi-alignment" has produced neither a patron nor leverage.

The US relationship is the paradox that keeps the probability from moving more than marginally. The executive-branch reset channel is demonstrably alive – the Trump letter, Diaz's "clean slate" overture, and continued military-to-military CBRN exercises all signal Washington's willingness to transact. But this is matched by hardening measures: a permanent visa-bond programme targeting Georgia alone, a \$400M arbitration award against the state, and a "Great Transshipment Scam" designation. The reset, as the National Interest and Carnegie analyses concur, is performative on Georgia's side and conditional on Washington's – the gap between the two has not narrowed.

ECONOMIC

The economic picture is a study in contradictions that keeps Georgia technically growing while its strategic options narrow. Anaklia – the emblem of the China pivot, then of its collapse – is now visibly under construction, but by a Belgian dredging contractor under a shrunken, thrice-revised scope. The "landlord model" is finally producing invoices and dredged cubic metres, yet GD's political discourse still treats the port as a sovereignty asset rather than a European partnership. The result is a flagship project that is simultaneously de-risked from China and un-leveraged toward the West.

Kobakhidze's \$7B-by-2032 transport plan, unveiled at the UN, is the rhetorical corollary: a bid to monetize Georgia's transit position exactly as the US-backed TRIPP corridor (Trans-Caspian International Route for Peace and Prosperity, connecting Armenia, Azerbaijan, and Turkey) threatens to reroute the region's traffic away from Georgia. The H1 2026 trade data underscore the underlying dependency – Russian imports up 26% to \$1.2B and a widening \$868M deficit – even as Washington's tariff-circumvention report names Georgia as a transshipment node. The sanctions-evasion economy (Wildberries, the Terabank sale, the shadow-fleet and Iran vectors) continues to generate friction that no amount of GDP-growth messaging can offset.

MILITARY

There is no change in Georgia's own hard military posture – the country remains demilitarized in the Western sense, with no NATO exercises or Ukraine cooperation – but the soft military dynamic advanced sharply. South Ossetia's absorption is no longer an administrative fact but an electorally legitimated one: a Russian citizen with no prior ties won 85% in a vote run concurrently with Russia's own Duma election, and Putin's congratulations completed the ritual. Kallas's explicit "future illegal annexation" framing, echoed by the France-Germany-Italy-UK joint statement of August 7, signals Western governments now treat formal annexation as a live scenario rather than a distant tail risk. Tskhinvali's assertion that it is "not ready" for transit with Georgia keeps the border effectively militarized-territorial rather than economic.

The Georgievsk battalion documented by Jamestown adds a troubling identity dimension: a Kremlin-funded force of Georgians fighting for Russia in Ukraine, named for the very 1783 treaty Kobakhidze now praises. This is not territorial but demographic – Moscow building a Georgian face for its war and a potential future political proxy, in parallel with its diaspora soft-power program.

TECHNOLOGICAL

The technological dimension remains the least visible but most persistent front. The record 20,000+ daily border crossings at Upper Lars, amid mobilization speculation, suggests human-traffic leverage that intersects with Russia's documented diaspora-engagement apparatus (the \$13B soft-power unit targeting Georgia as the top destination for post-2022 emigrants). GD's "Hate Speech" Interior Ministry division continues to raise the prospect of expanding domestic surveillance capacity. The Wildberries entry – a Russian digital-commerce platform with sanctioned banking links – is the newest vector: it is not a port or a pipeline but a data-and-logistics layer that would embed Russian infrastructure into Georgian retail under sanctions-evasion risk. Anaklia's unresolved question – who supplies the port's digital/technology layer now that the Chinese consortium is gone – remains unanswered and increasingly consequential as the Belgian marine works advance.

The Iran disclosures complete the technological picture: 13,000 registered Iranian companies (many phantom) and state CCTV contracts (the 251 Dahua cameras with AI facial recognition) linked to protest suppression suggest a surveillance-and-finance nexus that no single actor fully controls. Georgia's "multi-alignment" is, at the technological layer, becoming a multi-vector exposure.

WATCH INDICATORS

- Constitutional Court ruling (or non-ruling) on the opposition-party ban lawsuit – whether GD can legally eliminate parliamentary opposition
- Ivanishvili-Kobakhidze relationship – whether the PM survives Mdinardze's exit and Gharibashvili's allegation, or is replaced
- Anaklia's third-revision scope – whether further downsizing signals the "landlord model" is financially under strain
- Whether any Western government (EU member or US) publicly steps into a patron role given Hungary's exit
- Russia's next step on Abkhazia/South Ossetia – formal annexation signals, border-transit decisions, or Duma integration moves
- Direct high-level US-Georgia engagement beyond the working level (ambassadorial nomination, a senior visit, or removal of the visa-bond programme)
- Any Georgian entity added to US Treasury/OFAC primary sanctions lists (beyond Ivanishvili's existing SDN designation)

KEY SOURCES

1. Jan De Nul: Construction of new deep-sea port in Georgia accelerates
2. DredgeWire: Anaklia Port dredging to be completed by December
3. Ports Europe: Anaklia dredging volume cut again in third project revision
4. DFWatch: Georgia's PM calls for reconciliation with Abkhaz and Ossetian people
5. AnewZ: Georgia's PM pitches country as Middle Corridor's anchor
6. OC Media: Georgian Dream now wants all major opposition parties banned
7. Civil.ge: Two New Constitutional Court Judges Appointed As Critics Fear 'No More...'
8. Georgia Today: Marat Kambolov wins de facto presidential vote in South Ossetia
9. Reuters: Russia-backed South Ossetia elects leader close to Moscow
10. lb.ua: EU Will Not Recognise 'Elections' in South Ossetia, Says Kallas
11. Forbes: Georgia's Absence From The 2026 NATO Summit Fuels Isolation Debate
12. Jamestown: Kremlin Draws Georgia into its War as Tbilisi Rewrites History
13. RFE/RL: Georgia's Iran Embrace Is Costing It Washington
14. Carnegie Politika: Georgia's Fall From U.S. Favor Heralds South Caucasus Realignment
15. The National Interest: Washington's Georgia Problem Is Strategic, Not Normative
16. The Moscow Times: With Abkhazia and South Ossetia, Russia Holds a Poisoned Chalice

This free Watch Report is provided by IScann Group for informational and strategic awareness purposes only. It is not legal, investment, security, or government advice. Assessments are probabilistic and may change as new information becomes available.

This report was generated on 2026-09-26 based on open-source reporting available as of 2026-09-26. The probability reflects IScann Group's analytic judgment, not a statistical model, unless otherwise stated. This is the fifth watch report for the Georgia topic. Probability revised from 75% to 78% on the strength of three September accelerants (Hungary's westward shift removing GD's EU patron; the all-opposition ban lawsuit crossing the one-party threshold; South Ossetia's absorption formalized via Kambolov's 85% election), held below a larger increase by GD's internal fracture and the persistent US working-level reset channel. The next review is scheduled for 2026-11-01.